Banking — The Story Notes

Law of Banking & Negotiable Instruments · BR Act · NI Act · SARFAESI · RDB Act

All 5 units · one customer's story, start to finish · by **lawsticker-ai.com**

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C opens a boutique and a bank account. Her cheques travel, one is stolen, one bounces; she borrows against gold, stock and her shop, imports under a letter of credit — and when the business fails, the bank comes to recover. Every part of the syllabus shows up as a scene.

The cast

👩 **C** boutique owner, customer	🏦 **Bank** C's bank	👨‍💼 **Manager** branch manager	🧑 **S** supplier, payee	🦹 **F** fraudster	👴 **G** C's father, guarantor
🧑‍💼 **K** C's shop manager	🙋 **Creditor** gets a garnishee order	🏛️ **RBI** regulator	👨‍⚖️ **Judge / DRT** decides disputes	🧑‍🦱 **Wholesaler** holder in due course	🏹 **You** the student

The story map (14 episodes)

Ep 0 — The Rulebook 📘
history · BR Act features · RBI
Unit I

Ep 1 — Which Bank? Which Way? 🏦
kinds · systems · offshore · IT · DICGC
Unit I

Ep 2 — Opening the Account 🪪
banker · customer · KYC · paying-in slip · mandate
Unit II

Ep 3 — Six Hats of a Banker 🎩
debtor-creditor · Clayton · trustee · agent · bailee
Unit II

Ep 4 — Rights, Duties & Secrets 🤫
secrecy · garnishee · rights · duties
Unit II

Ep 5 — Paper That Travels 📃
NI Act · HDC · endorsement · S.20 · S.118
Unit III

Ep 6 — Two Parallel Lines 〃
crossing · A/c payee · not negotiable
Unit III

Ep 7 — Bounce! ↩️
S.138 · 2018 amendment: 143A, 148
Unit III

Ep 8 — The Paying Banker 💵
honour · refuse · S.85, 85A, 128
Unit IV

Ep 9 — The Collecting Banker 📥
S.131 · negligence · comparison
Unit IV

Ep 10 — Lien & Set-off 🔒
general lien · combining accounts
Unit V

Ep 11 — The Loan 🏪
pledge · land · stocks · shares · policies · DTG · guarantee
Unit V

Ep 12 — A Bank's Promise 📜
bank guarantees · letters of credit
Unit V

Ep 13 — Getting the Money Back ⚖️
DRT · SARFAESI
Unit V

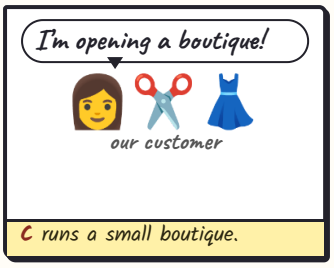
How to read

S.138 — section
NI Act — the Act
yellow — exam keyword
⭐ golden rule — must-write line
green box — case: story → held
📌 sticky — memory hook
🎬 — worked example
comic strip — the scene to picture

Episode 0 The Rulebook

Before C walks in, the rulebook every bank must follow.

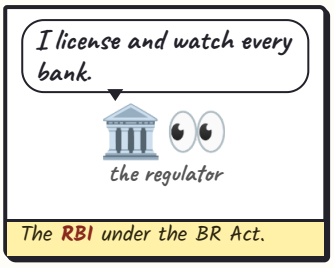
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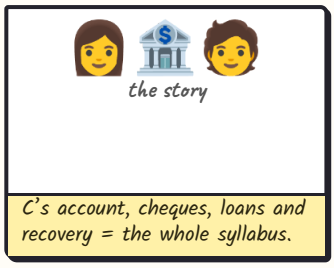
C runs a small boutique.



She needs a **bank** — a company licensed to take deposits & lend.



The **RBI** under the BR Act.



C's account, cheques, loans and recovery = the whole syllabus.

History of banking regulation Unit 1

1913–17 bank failures → 1934 RBI Act (RBI from 1 April 1935) →

1949 Banking Companies Act (16 March 1949) →

1966 renamed Banking Regulation Act; co-op banks covered →

1969 · 1980 nationalisation (14 + 6 banks) →

2020 co-op banks under fuller RBI control

Reasons: frequent bank failures, protect depositors, control credit, plan the economy. RBI nationalised 1949.

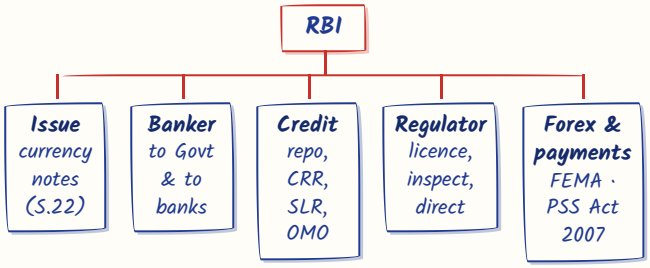
📌 1934 RBI · 1949 BC Act · 1966 BR Act · 1969 nationalisation

Salient features of the BR Act BR Act 1949

Section	Feature
5(b)	**banking** = accepting deposits from the public for lending or investment, repayable on demand or otherwise and withdrawable by cheque, draft, order or otherwise
5(c) · 7	banking company · only banks may use 'bank' in their name
6	permitted business: loans, bills, guarantees, LCs, forex, safe custody, agency…
8	no trading in goods (except realising security)
9	dispose of non-banking assets within 7 years
10–10B	management restrictions; whole-time chairman
11	minimum capital & reserves
17	transfer 20% of profits to reserve fund
18 · 24	CRR (cash reserve) · SLR (liquid assets)
20	no loans to its own directors
21 · 35A	RBI controls advances & issues directions
22 · 23	licence to do banking · permission for branches
26A	unclaimed deposits (10 years) → DEAF
35 · 36AA	RBI inspection · remove managerial persons
45	moratorium & amalgamation
49A	only banks may accept deposits withdrawable by cheque

📌 Deposits + lending + cheques = banking · licence 22 · reserve 17 · CRR/SLR · RBI watch 35

The RBI: functions RBI Act 1934



→ lender of last resort · banker's bank (clearing) · custodian of forex reserves

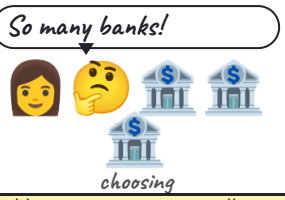
→ consumer protection: RBI Integrated Ombudsman Scheme 2021, KYC & fraud rules

📌 I-B-C-R-F: Issue · Banker · Credit · Regulator · Forex

Which Bank? Which Way?

Banking business today: many kinds of banks, many ways to bank, and IT everywhere.

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Public, private, co-op, small finance, payments…



UPI, net banking, mobile app — **IT** changes banking.



Cyber fraud — report within **3 days**.



Deposits insured up to **₹5 lakh** (DICGC).

Banking business & its importance

- mobilises **savings** → **credit** for trade, industry, agriculture
- **payment system** (cheques, UPI, RTGS) · **financial inclusion** (Jan Dhan)
- transmits **monetary policy** · forex, guarantees, LCs for trade · **priority sector** lending

Different kinds of banking

Kind	Feature
Central bank	RBI — regulator, banker's bank
Commercial	public sector, private, foreign — scheduled (RBI Act 2nd Sch.)
Co-operative	urban & rural; dual control — RBI + Registrar
Regional Rural Banks	RRB Act 1976 — rural credit
Development banks	NABARD, SIDBI, EXIM Bank, NHB
Small finance banks	small units, unserved people (2015)
Payments banks	deposits ≤ ₹2 lakh, no lending, remittances (2015)
NBFCs	lend but can't take demand deposits / issue cheques

Banking system	Meaning
Unit	one office, local
Branch	one bank, many branches (India)
Group / chain	holding company / common control
Correspondent	one bank acts for another (often abroad)
Universal	banking + insurance + investment under one roof
Narrow	safe assets only
Offshore	outside the home country, foreign currency, light tax — India: OBUs in SEZs (2002), IFSC GIFT City

📌 Central · Commercial · Co-op · RRB · Development · Small finance · Payments

Impact of information technology

CBS (core banking — any branch) → ATM · cards → Net & mobile → NEFT · RTGS · IMPS → UPI (instant, 24×7) → CTS (cheque truncation (image))

- laws: **IT Act 2000** (e-records, digital signature, S.43A data protection) · **Payment & Settlement Systems Act 2007** · NI Act S.6 **electronic & truncated cheque** (2002) · DPDP Act 2023
- risks: **cyber fraud, phishing, data breach**
- **RBI 2017 customer liability**: report within **3 working days** → **zero liability**; 4–7 days → limited; bank's fault → bank pays

Depositor insurance

DICGC Act 1961

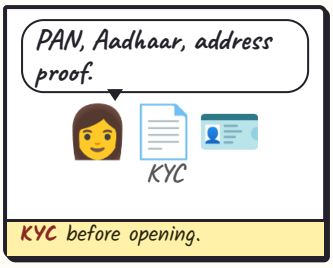
DICGC (RBI subsidiary) insures each depositor up to **₹5 lakh per bank** (since 4 Feb 2020) — principal + interest; all commercial, co-op, RRB, small finance & payments banks. **2021 amendment**: interim payment within **90 days** when a bank is under moratorium.

📌 ₹5 lakh · per depositor · per bank · 90 days

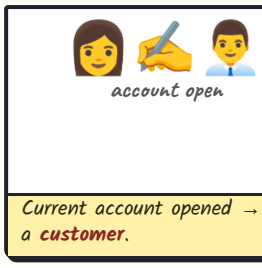
Opening the Account

Who is a banker, who is a customer — and the papers that start the relationship.

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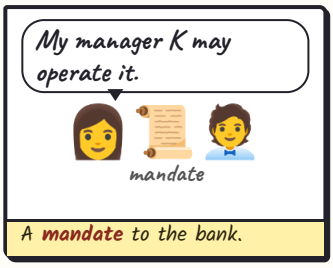
KYC before opening.



Current account opened → C is a **customer**.



Cash deposited with a **paying-in slip**; counterfoil returned.



A **mandate** to the bank.

Banker & customer

BR Act S(b) · NI Act S.3

Banker: one who carries on the business of banking (BR Act S(b)); NI Act S.3 includes persons acting as bankers and post offices savings banks.

Customer (no statutory definition): a person who has an account with the bank, or with whom the bank has agreed to open one. Duration is not essential; a single transaction may do.

> ***Great Western Railway v London & County Banking Co.*** (1901) — occasional cashing of cheques without an account ≠ customer
> ***Commissioners of Taxation v English, Scottish & Australian Bank*** (1920) — customer from the first transaction; duration irrelevant
> ***Ladbroke v Todd*** (1914) — a person is a customer once the bank accepts his deposit to open an account

📌 Account = customer · time doesn't matter

Opening & special customers

→ KYC (RBI directions; PMLA 2002): identity, address, photo; risk categorisation; periodic update

→ introduction / references — protects the collecting banker later (S.131)

Customer	Rule
Minor	account through guardian; 10+ may operate own savings account (RBI); no overdraft
Lunatic	operation stops on notice of insanity
Illiterate	thumb impression + witness; must appear
Joint	'either or survivor', 'former or survivor', jointly
Partnership	account in firm name; partners jointly liable
Company	MOA/AOA, board resolution
Trust · executor · club	per deed / probate / bye-laws

Paying-in slip

Form filled by the customer to deposit cash or cheques: date, account no., name, amount in words & figures, denomination / cheque details. Bank returns the signed counterfoil = receipt

→ counterfoil is prima facie evidence of deposit; bank bound by the amount acknowledged

→ cheques: bank collects as agent; credit only on realisation (or as holder for value if credited earlier)

Mandate & power of attorney

Mandate = written authority by the account holder to the bank allowing another (mandatee) to operate the account / do a specific act. Works on agency rules. Includes standing instructions, NACH / ECS auto-debits.

Mandate	v/s	Power of attorney
limited · simple letter to the bank · one account/purpose		wide · stamp paper, notarised/registered · usable with anyone

Ends on: revocation · death · insanity · insolvency of the customer · garnishee/court order · purpose over.

📌 Mandate ends: R-D-I-I · counterfoil = receipt

Episode 3 Six Hats of a Banker

One bank, many hats — the hat decides the rights and duties.

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C deposits → bank is her **debtor**.



Overdraft → bank becomes the **creditor**.



Jewels in a locker → **bailee**.



Collects her cheques, pays her bills → **agent**.

Debtor & creditor (general relationship)

Money deposited **becomes the banker's money**; the banker owes an **equal sum**. Customer = **creditor**, banker = **debtor** (reversed in a loan/overdraft).

Foley v Hill (1848)

story Customer claimed the bank was a trustee who must account for profits.

held Banker is a **debtor**, not a trustee; may use the money as he likes.

Special feature	Why
creditor must demand repayment	an ordinary debtor seeks out his creditor; a bank doesn't (*Joachimson v Swiss Bank Corp.*, 1921)
demand in writing (cheque)	at the **branch** where the account is kept
limitation runs from demand	not from deposit
banker is a privileged debtor	lien, set-off, charges

Appropriation & Clayton's rule ICA S.59–61

S.59 debtor **chooses** the debt → S.60 debtor silent → **creditor chooses** →

S.61 neither → **in order of time**

Devaynes v Noble (Clayton's case) (1816)

story A partner of a banking firm died; Clayton kept operating his current account; later he lost money when the firm failed.

held In a running account, **first in, first out**: earlier credits pay off earlier debits — the dead partner's estate was freed.

🎬 Why banks care

Guarantor's liability ends on his death → bank **stops the account and opens a new one**, or later deposits would wipe out the guaranteed debt (FIFO).

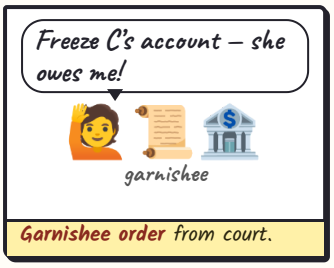
Other relationships

Hat	When	Result
Trustee (fiduciary)	money/securities for a **specific purpose**; trust accounts	can't use for itself; **no lien/set-off**
Fiduciary	always — good faith, secrecy, care	duty of confidence
Agent	collecting cheques, paying bills, buying shares, standing instructions	duty of care & to follow instructions
Bailee	**safe custody, lockers** (ICA S.148)	reasonable care (S.151); RBI locker rules 2021
Pledgee / mortgagee	loan against security	rights over goods (Ep 11)
Guarantor	bank guarantee for the customer (S.126 ICA)	pays if customer fails (Ep 12)
Lessor–lessee	locker hire	rent

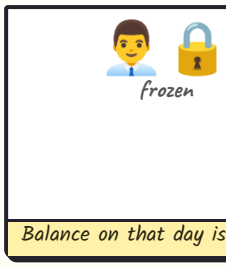
📌 Debtor · Creditor · Trustee · Agent · Bailee · Guarantor

A banker's duties protect the customer; his rights protect the bank.

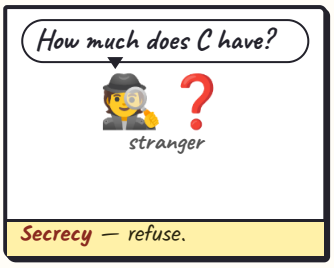
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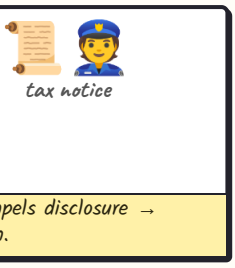
Garnishee order from court.



Balance on that day is held.



Secrecy — refuse.



Law compels disclosure → exception.

Duty of secrecy

Banker must keep the customer's account details confidential — during and after the relationship. Breach → damages.

Tournier v National Provincial & Union Bank of England (1924)

- **story** — Bank manager told a customer's employer that he owed money and gambled; he lost his job.
- **held** — Duty of secrecy, subject to **4 exceptions**.

4 exceptions

- **Compulsion of law** — court, tax, PMLA, Bankers' Books Evidence Act 1891
- **Duty to the public** — fraud, war
- **Bank's own interest** — suing the customer
- **Consent** — express / implied (references)

Shankarlal Agarwalla v SBI (1987) — disclosing note details to authorities under law is no breach

K.S. Puttaswamy v UOI (2017) — privacy is a fundamental right — financial data included

📌 Law · Public · Interest · Consent

Garnishee order

CPC O.XXI r.46A · S.60

Court order (on the judgment-creditor's application) attaching money the bank owes the customer (judgment-debtor). Bank = garnishee.

- → order nisi → bank stops payment of the balance; then order absolute → pay to the creditor
- → attaches only the credit balance on the date of the order — not future deposits
- → joint account: only for a joint debt · trust / specific-purpose money not attached · bank may first set off its own dues
- → bank informs the customer; cheques after the order dishonoured (no wrongful dishonour)

Rights of a banker

Right	Meaning
General lien (ICA S.171)	retain securities until all dues paid (Ep 10)
Set-off	combine accounts of the same customer (Ep 10)
Appropriation	S.59–61, Clayton
charge interest, commission	per agreement / RBI rules
close an account	with reasonable notice

Duties of a banker

- → honour cheques if funds & order proper (NI S.31) — wrongful dishonour → damages (Ep 8)
- → secrecy · care in collection · follow mandates · maintain correct accounts · give statements
- → receive deposits, repay on demand · protect against fraud (KYC, alerts)

Termination of the relationship

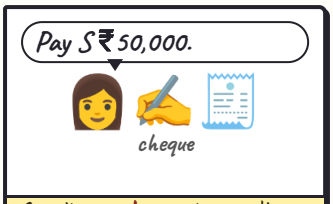
- → by the customer closing / bank closing with notice
- → death, insanity, insolvency of the customer (on notice)
- → garnishee order (for that sum), winding up of a company, dissolution of a firm

📌 Garnishee: balance on that day only · rights L-S-A-I · duties H-S-C-A

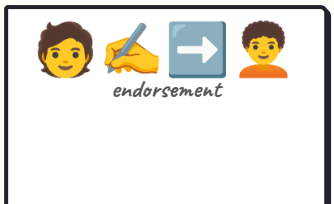
Episode 5 Paper That Travels

A negotiable instrument passes from hand to hand like money — and the law protects the honest taker.

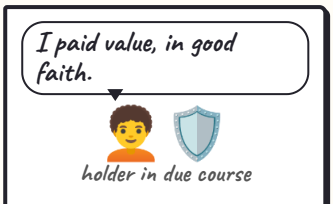
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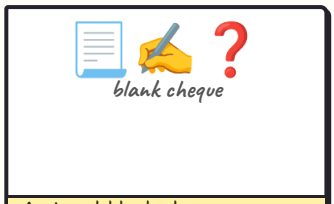
C writes a **cheque** to supplier S.



S **endorses** it to his wholesaler.



HDC gets a better title.



A signed blank cheque = **inchoate** instrument.

Salient features of the NI Act — NI Act 1881

- in force 1 March 1882 · applies to all India · saves local usage (hundis) (S.1)
- only three statutory instruments: promissory note, bill of exchange, cheque (S.13)
- freely transferable by delivery / endorsement + delivery · holder in due course gets title free of defects (S.9, 53, 58)
- presumptions (S.118, 139) · crossing (Ch. XIV) · dishonour, notice, noting & protest (Ch. VIII–X)
- criminal liability for cheque bounce (S.138–147, added 1988, 2002, 2015, 2018) · e-cheques & truncated cheques (2002)

The three instruments — S.4–6

	Promissory note (S.4)	Bill of exchange (S.5)	Cheque (S.6)
nature	promise to pay	order to pay	bill drawn on a specified banker
parties	2 — maker, payee	3 — drawer, drawee, payee	3 — drawer, bank, payee
acceptance	not needed	needed (if time bill)	not needed
payable	on demand / time; not to bearer (RBI Act S.31)	demand / time	only on demand; incl. electronic & truncated

Common essentials: in writing · unconditional · signed · certain sum of money only · certain payee (or bearer) · stamped (PN, bill).

Holder & holder in due course — S.8–9

Holder (S.8)
entitled in his own name to possess it and receive payment

v/s

Holder in due course (S.9)
holder **for consideration** · got it **before maturity** · **no cause to believe** any defect in title

- HDC gets a better title than the transferor (S.58) · all prior parties liable to him till paid (S.36)
- no defence against HDC: lack of consideration, fraud between earlier parties (S.43, 53)

Negotiation & endorsement — S.14–16, 46–58

Bearer: by delivery (S.47) · order: endorsement + delivery (S.48).

Endorsement	Meaning
blank (S.16)	signature only → becomes bearer
full / special	'pay X or order'
restrictive (S.50)	'pay X only' — stops further negotiation
sans recourse (S.52)	endorser not liable
conditional	liability on a condition
partial (S.56)	for part of the amount — not valid

Inchoate instruments & presumptions — S.20 · S.118 · S.139

S.20 inchoate: a person signs and delivers a blank or incomplete stamped paper → prima facie authority to the holder to complete it for any amount the stamp covers; signer liable to a holder in due course for that amount.

S.118 — presume, until proved otherwise	
(a) **consideration**	(b) date of making
(c) **time of acceptance**	(d) transfer before maturity
(e) **order of endorsements**	(f) stamp duly affixed
(g) **holder is a holder in due course**	S.139: cheque given for a debt or liability

> ***Bir Singh v Mukesh Kumar*** (2019) — signed blank cheque voluntarily given → S.139 presumption applies even if filled by payee

📌 **C-D-A-T-O-S-H: Consideration · Date · Acceptance · Transfer · Order · Stamp · HDC**

Deemed negotiable & bank instruments

Deemed negotiable (custom)	Not negotiable
hundis · treasury bills · share warrants · bearer debentures	share certificates · postal / money orders
dividend warrants (cheques on the company's bank)	fixed deposit receipts · IOU
banker's drafts / pay orders	quasi: documents of title (bill of lading, warehouse receipt)

- **Banker's draft**: order by one branch to another to pay on demand — can't be stopped by buyer; crossing rules apply (S.131A); paying banker protected (S.85A)
- **Dividend warrant**: order on the company's bank to pay dividend — treated as a cheque; can be crossed

Episode 6 Two Parallel Lines

Crossing is a direction to the paying banker — and a safety lock for the customer.

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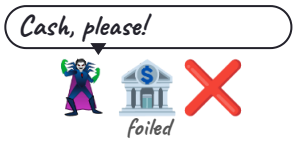
C draws two lines: **crossed** — only to a bank.



Adds '**A/c Payee**' — only to S's account.



F steals the cheque from S's shop.



Crossed → no cash at the counter.

Kinds of crossing S.123–124, 130

Kind	How	Effect
General (S.123)	two parallel transverse lines, with/without '& Co.' or 'not negotiable'	paid only to a banker
Special (S.124)	name of a banker added (lines optional)	paid only to that banker (or its agent)
Not negotiable (S.130)	words 'not negotiable' with crossing	transferable, but no better title than the transferor
Account payee	'A/c payee' (banking practice; RBI 1992)	collecting banker must credit only the payee's account
double special (S.127)	two bankers named	refused, unless second is agent for collection

→ **S.125** who may cross: drawer · holder (generally/specially, add 'not negotiable') · banker (specially, to another banker for collection)

→ crossing is a material part of the cheque; obliterating it = material alteration (S.126–127)

→ **S.131A** crossing rules apply to drafts too

House Property Co. v London County & Westminster Bank (1915) — 'A/c payee' is a warning; collecting otherwise is negligence

Great Western Railway v London & County Banking Co. (1901) — 'not negotiable': no better title

📌 2 lines = bank · name = that bank · not negotiable = no better title · A/c payee = payee only

Duties & protection on crossed cheques S.126–131

→ **S.126** pay a crossed cheque only through a banker (special → that banker)

→ **S.128** paying banker who pays a crossed cheque in due course and per crossing → protected (as if paid to the true owner)

→ **S.129** pays contrary to crossing → liable to the true owner

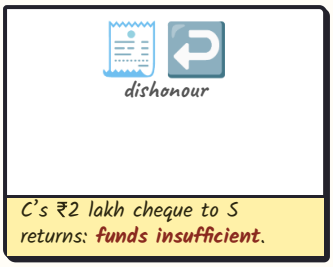
→ **S.131** collecting banker who receives payment in good faith, without negligence, for a customer → not liable to the true owner (Ep 9)

📌 Paying: 128 protect · 129 liable · Collecting: 131

Episode 7 Bounce!

A bounced cheque is a crime — the 2018 amendment gave payees money even before the verdict.

more free notes → lawsticker-ai.com



C's ₹2 lakh cheque to S returns: **funds insufficient**.

S sends a **demand notice** within 30 days.

No payment → **S.138 complaint** within a month.

S.143A interim compensation.

Dishonour & notice S.91–99

→ dishonour by non-acceptance (S.91) or non-payment (S.92) · notice of dishonour to prior parties (S.93), any form, reasonable time

→ **S.98** notice not needed when excused · **S.99–100** noting & protest by notary (foreign bills)

Offence of cheque dishonour S.138

1. cheque drawn on an account maintained by the drawer
2. for discharge of a legally enforceable debt or liability
3. presented within validity (3 months)
4. returned unpaid for insufficient funds or exceeds the arrangement (also 'account closed', 'stop payment' with no funds)
5. payee sends written demand notice within 30 days of the bank's information
6. drawer fails to pay within 15 days of receiving notice

Punishment: up to 2 years, or fine up to twice the cheque amount, or both.

Section	Rule
139	presume the cheque was for a debt — rebuttable
140	no defence that he had no reason to believe it would bounce
141	company offences: persons in charge also liable (company must be accused)
142	cognizance only on written complaint by the payee/HDC within 1 month (delay condonable) · MM / JMFC
142(2)	jurisdiction: court where the payee's bank branch is (2015)
143	summary trial; day-to-day; conclude in 6 months
145	evidence on affidavit
147	compoundable

Rangappa v Sri Mohan (2010)

- **story** — Accused admitted his signature but said the cheque was blank and lost.
- **held** — S.139 presumption **includes a legally enforceable debt**; accused may rebut on preponderance of probabilities.

Dashrath Rupsingh Rathod v State of Maharashtra (2014) — drawee bank's place — undone by the 2015 amendment

Aneeta Hada v Godfather Travels (2012) — company must be arraigned to prosecute directors

Damodar S. Prabhu v Sayed Babalal H. (2010) — graded costs for compounding

In Re Expeditious Trial of Cases under S.138 (2021) — directions to clear the backlog

📌 Account · Debt · 3 months · Bounce · 30-day notice · 15 days · 1 month complaint

NI (Amendment) Act, 2018 S.143A · S.148

S.143A — interim compensation

trial court may order the drawer to pay **up to 20%** of the cheque amount — in a summary trial / when he pleads not guilty · pay within **60 days** (+30) · refunded with interest if acquitted

v/s

S.148 — appeal deposit

appellate court may order the convicted appellant to deposit **at least 20%** of the fine/compensation · within 60 days (+30) · may be released to the payee

Object: stop drawers using delays and appeals to avoid paying; restore credibility of cheques.

Surinder Singh Deswal v Virender Gandhi (2019) — S.148 applies to pending appeals; deposit is the rule

G.J. Raja v Tejraj Surana (2019) — S.143A is prospective — offences after 1.9.2018

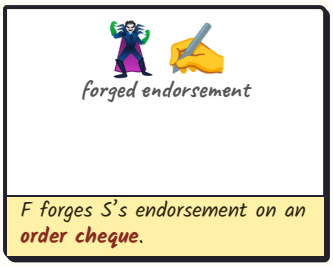
Meters & Instruments v Kanchan Mehta (2017) — court may close the case when the amount is paid

📌 143A = 20% interim (trial) · 148 = 20% deposit (appeal)

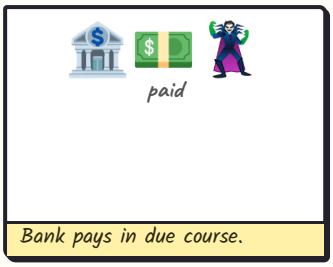
Episode 8 The Paying Banker

The paying banker must pay when it should, refuse when it must — and the Act protects it when it pays in good faith.

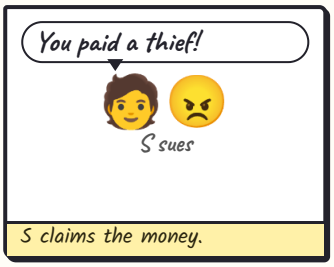
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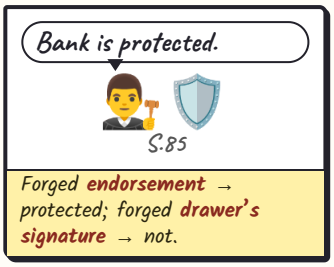
F forges S's endorsement on an **order cheque**.



Bank pays in due course.



S claims the money.



Forged **endorsement** → protected; forged **drawer's signature** → not.

Duty to honour & wrongful dishonour S.31

Bank must pay the customer's cheque if: sufficient funds properly applicable, cheque properly drawn, presented in time, at the right branch, no legal bar. Wrongful dishonour → compensation to the drawer (S.31).

→ damages: trader gets substantial damages without proof of loss (credit hurt) · non-trader: nominal unless loss proved (*Gibbons v Westminster Bank*, 1939)

→ also defamation if the return memo is insulting

When the banker must / may refuse

Must refuse	May refuse
countermand (stop payment)	post-dated (before date) · stale (after 3 months)
notice of customer's death, insanity, insolvency	irregular: words ≠ figures (words prevail, S.18), mutilated, material alteration
garnishee / court / tax attachment	signature doesn't match · insufficient funds
notice of defect in holder's title	crossed cheque presented over the counter

Statutory protection to the paying banker

Section	Protection
10	'payment in due course': per apparent tenor · good faith · without negligence · to the person in possession · no reason to doubt him
85(1)	order cheque: paid in due course → discharged even if the endorsement is forged ('purporting to be endorsed')
85(2)	bearer cheque: paid to bearer → discharged even if endorsed to order — 'once bearer, always bearer'
85A	drafts drawn by one branch on another — same protection
89	material alteration not apparent — paid per the original intent
128	crossed cheque paid in due course per crossing

★ No protection for a forged drawer's signature — there is no mandate at all; the bank pays from its own pocket.

Canara Bank v Canara Sales Corporation (1987)

story The company's accountant forged its signature on cheques for years; bank paid; company didn't check its pass-book.

held Bank liable: a forged cheque is no mandate; customer's failure to check pass-book is not negligence creating estoppel.

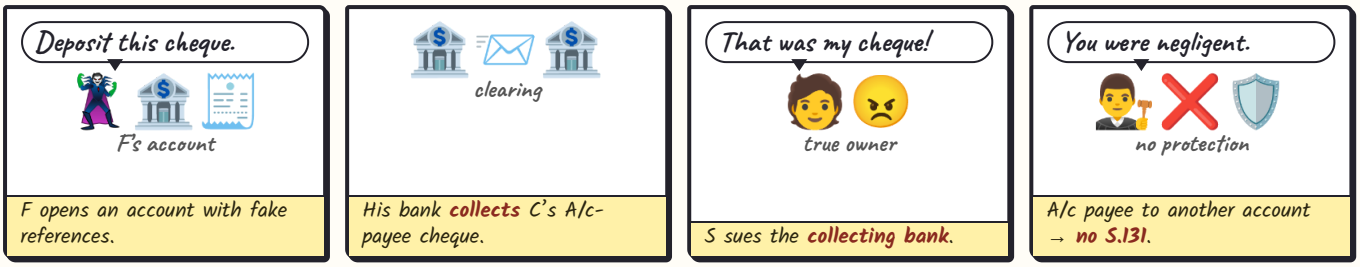
Marzetti v Williams (1830) — customer may sue for wrongful dishonour without proof of loss

📌 Due course: tenor · good faith · no negligence · possession — 85 endorsement · 85A draft · 89 alteration · 128 crossed

Episode 9 The Collecting Banker

The collecting banker gets protection only if it acts in good faith and without negligence.

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F opens an account with fake references.

His bank **collects** C's A/c-payee cheque.

S sues the **collecting bank**.

A/c payee to another account → **no S.131**.

Role of the collecting banker

As agent	v/s	As holder for value
credits after **realisation** · collects for the customer · needs S.131 protection		credits **before** realisation / lets him draw · may become HDC · own rights

→ duties: due care, present promptly (S.66, 72), notice of dishonour to the customer, credit the right account

→ liable to the true owner for conversion if it collects for someone without title

Statutory protection S.131

1. receives payment in good faith and without negligence
2. for a customer (a person with an account)
3. of a crossed cheque (generally, or specially to itself)
4. acts only as a collecting agent

Explanation I (1922): crediting the customer before realisation doesn't take away protection · **Explanation II** (2002): collecting an electronic image of a truncated cheque — banker must verify prima facie genuineness.

Negligence — no protection	Case
opening an account without inquiry / references	*Ladbroke v Todd* (1914)
company cheque into a director's/employee's personal account	*Underwood v Bank of Liverpool* (1924)
employer's cheque into an employee's (or spouse's) account without inquiry	*Lloyds Bank v E.B. Savory* (1933)
'A/c payee' cheque credited to someone else	*House Property Co.* (1915)
unusual amounts for the account · ignoring alterations	—

> ***Marfani & Co. v Midland Bank*** (1968) — standard of care = current banking practice; one-off lapses judged fairly

Paying v collecting banker Unit IV

	Paying banker	Collecting banker
acts for	the drawer	the payee (its customer)
main duty	pay / refuse correctly	collect with care
protection	S.10, 85, 85A, 89, 128	S.131 (+131A)
key test	payment in due course	good faith + no negligence for a customer
liable to	drawer (wrongful dishonour) / true owner	true owner (conversion)

📌 Collecting: Good faith · No negligence · Customer · Crossed · Agent

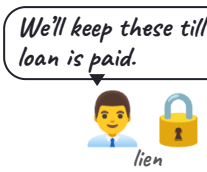
Episode 10 Lien & Set-off

The bank protects its money with two quiet rights: lien over securities, set-off over balances.

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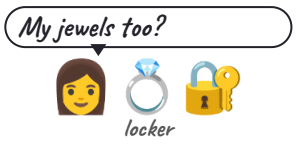
C has an FD and shares with the bank.



General lien.



Her savings balance **set off** against the overdue overdraft.



No — **safe custody** isn't under lien.

Banker's lien ICA S.171

Bankers have a general lien; may retain all goods & securities of the customer that come into their hands as bankers for the general balance of account — unless there is a contract to the contrary.

→ called an implied pledge — banker may sell after reasonable notice (unlike an ordinary lien)

→ arises automatically; applies to bills, cheques, securities, FDRs, documents

No lien on	Why
safe custody articles, lockers	bailee, not as banker
securities for a specific purpose	contract to the contrary
trust property / money	not the customer's own
securities left by mistake	not deposited as banker
before the debt is due	nothing to secure yet

> ***Brandao v Barnett*** (1846) — banker's general lien is part of the law merchant
> ***Syndicate Bank v Vijay Kumar*** (1992) — bank may retain FDRs under general lien for other dues

📌 General lien = implied pledge · can sell after notice · not safe custody, specific purpose, trust

Right of set-off

Bank may combine two accounts of the same customer and set off a debit balance in one against a credit balance in another.

1. debts due and certain (not a future or contingent debt)
2. accounts in the same right & capacity (personal v trust/joint can't be mixed)
3. mutual debts between the same parties
4. no contrary agreement · usually with notice to the customer

→ arises on: death, insanity, insolvency, garnishee order, winding up, or by agreement

→ **Lien** is over securities (goods); **set-off** is over money (balances)

Lien
retain **securities** · ICA S.171 · may sell after notice

v/s

Set-off
adjust **money** balances · same right, due debts · equitable / contractual

Every advance rests on security — and each kind of security has its own way of being charged.

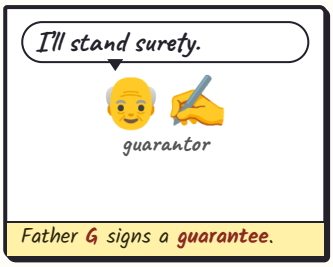
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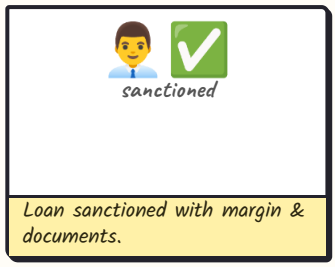
C seeks a loan to open a second store.



Gold, stock, shop, LIC policy, shares — all offered.



Father **G** signs a **guarantee**.



Loan sanctioned with margin & documents.

Advances: principles of sound lending

Lend only after checking

- **Safety** — repayment capacity
- **Liquidity** — quick to recover
- **Profitability** — fair return
- **Purpose** — productive, lawful
- **Security** — margin + documents

Forms: loan, overdraft, cash credit, bills discounted, term loan · **secured** v **unsecured** (clean).

Modes of creating a charge

Mode	Possession	Law
Pledge	goods delivered to the bank	ICA S.172–179
Hypothecation	goods stay with borrower; equitable charge	SARFAESI S.2(1)(n)
Mortgage	interest in immovable property	TP Act S.58
Lien	retain what is held	ICA S.171
Assignment	transfer of actionable claims (book debts, life policy)	TP Act S.130; Insurance Act S.38

Pledge ICA S.172–179

- **S.172** bailment of goods as security for a debt · pledgor / pawnee
- **S.173–174** retain for the debt & interest (other debts only by agreement — but banker's lien S.171)
- **S.176** default → pawnee may sue and retain, or sell after reasonable notice; deficit recoverable, surplus returned
- **S.177** pawnor may redeem before actual sale · **S.178–179** pledge by mercantile agent / limited owner

Lallan Prasad v Rahmat Ali (1967)

- *story* — Pawnee sued for the debt but had already disposed of the pledged goods.
- *held* — Pawnee suing for the debt **must be able to return** the pledged goods on payment.

Kinds of securities

Security	How the bank charges it · care
Land / building	mortgage (simple, English, usufructuary, deposit of title deeds) · title search, EC, valuation, registration (S.59), CERSAI
Stocks (goods)	pledge or hypothecation · margin, stock statements, inspection, insurance, drawing power
Shares	pledge in demat via the depository · margin for price swings · RBI limits
Life policies	assignment under Insurance Act S.38 + notice to insurer · lend within surrender value
Documents of title to goods	bill of lading, warehouse receipt, railway receipt, delivery order (SoGA S.2(4)) — pledge by endorsement & delivery
Gold ornaments	pledge · purity, valuation, LTV limits
Book debts	assignment / hypothecation

Guarantee ICA S.126–147

S.126: a contract to perform the promise or discharge the liability of a third person in case of his default — surety, principal debtor, creditor.

- **S.128** surety's liability co-extensive with the debtor's · **S.129** continuing guarantee — **S.130–131** revoked for the future by notice or surety's death
- **S.133–139** surety discharged by variance, release, time given, impairing his remedy · **S.140–141** subrogation & benefit of securities

Bank of Bihar v Damodar Prasad (1969)

- *story* — Bank sued surety; surety said 'first exhaust remedies against the borrower'.
- *held* — Surety's liability is **immediate**; creditor need not first sue the principal debtor.

📌 Pledge = possession · Hypothecation = charge · Mortgage = land · Assignment = policy · Guarantee = promise for another

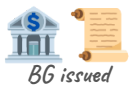
Episode 12 A Bank's Promise

When a bank promises, the promise stands on its own — separate from the trade behind it.

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C wins a school-uniform contract; buyer wants a **performance guarantee**.



Bank promises to pay on demand if C fails.



C imports fabric from abroad — seller wants a **letter of credit**.



Bank pays the seller against **documents** that match exactly.

Bank guarantees ICA S.126

Bank (surety) undertakes to pay the beneficiary on the customer's (applicant's) default — usually on first demand. Kinds: financial, performance, bid bond, advance payment, deferred payment.

★ A bank guarantee is an independent contract — the bank must pay on demand per its terms, whatever the dispute between customer and beneficiary.

Courts won't injunct encashment except: (1) egregious fraud the bank knew of, or (2) irretrievable injustice / special equities.

> ***U.P. Co-op Federation v Singh Consultants*** (1988) — unconditional BG must be honoured; fraud exception
> ***Hindustan Steel Works Construction v Tarapore & Co.*** (1996) — dispute with beneficiary no ground to stop payment
> ***U.P. State Sugar Corp. v Sumac International*** (1997) — only fraud or irretrievable injustice

📌 BG = independent · pay on demand · stop only for fraud / irretrievable injustice

Letters of credit UCP 600

Bank's written undertaking to pay the seller (beneficiary) on presentation of documents complying with the credit, on behalf of the buyer (applicant).

buyer applies (issuing bank) → LC issued (advising / confirming bank) → seller ships (presents documents) → bank checks (strict compliance) → payment (buyer reimburses, gets documents)

Kind	Meaning
Irrevocable (default, UCP 600)	can't be changed without all consents
Confirmed	second bank adds its own promise
Sight / usance	pay at once / after a period
Revolving · back-to-back · transferable	renews · second LC on the first · transfer to a supplier
Standby LC	works like a guarantee

→ autonomy: banks deal in documents, not goods · strict compliance: documents must match exactly
→ rules: ICC UCP 600 (2007) + ISBP

> ***United Commercial Bank v Bank of India*** (1981)
> *story* Court restrained a bank from paying under an LC because of the buyer's dispute.
> *held* LC is independent of the sale; courts shouldn't interfere except for fraud.

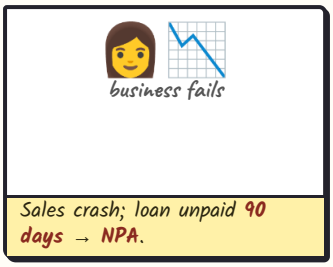
> ***Equitable Trust Co. of New York v Dawson Partners*** (1927) — 'no room for documents which are almost the same'

📌 Documents not goods · strict compliance · irrevocable · confirmed

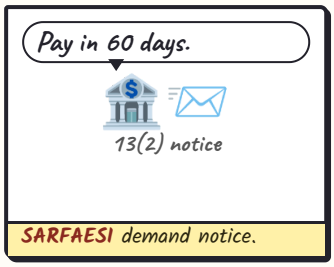
Getting the Money Back

Banks recover through a special tribunal and, for secured loans, without going to court at all.

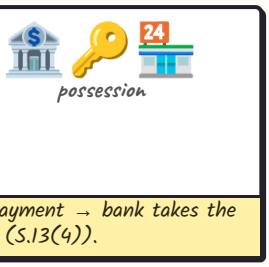
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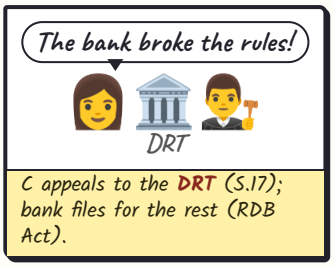
Sales crash; loan unpaid **90 days** → **NPA**.



SARFAESI demand notice.



No payment → bank takes the shop (S.13(4)).



C appeals to the **DRT** (S.17); bank files for the rest (RDB Act).

Modes of recovery

civil suit *slow* → DRT (RDB Act) *≥ ₹20 lakh* → SARFAESI *secured, no court* →

Lok Adalat · compromise → IBC 2016 *insolvency*

Debts Recovery Tribunal — RDB Act 1993

→ for banks & FIs; debts ₹20 lakh and above (since 2018) · Presiding Officer qualified to be a District Judge

→ civil courts barred (S.18) · summary procedure, not bound by CPC; natural justice (S.22)

→ application (S.19) → defendant's reply, counter-claim, set-off → recovery certificate → Recovery Officer executes (S.25: attachment & sale, arrest, receiver)

→ dispose within 180 days · appeal to DRAT within 45 days with pre-deposit (S.20–21)

> ***Union of India v Delhi High Court Bar Assn.*** (2002) — DRT Act valid; tribunals can try bank recovery
> ***Transcore v UOI*** (2006) — bank may use SARFAESI even while a DRT case is pending

SARFAESI Act 2002 — S.13 · 14 · 17

NPA
overdue 90 days

⇩

13(2) notice
pay within 60 days

⇩

13(3A)
reply to objections within 15 days

⇩

13(4) measures
possession · management · manager · debtors

⇩

S.14
CMM / DM help to take possession

⇩

sale
13(8) redeem before sale notice

→ **S.17** borrower appeals to DRT within 45 days · **S.18** then DRAT with 50% deposit (can be cut to 25%)

→ **S.34** civil courts barred · **S.20** central registry CERSAI · also securitisation & asset reconstruction companies

S.31 — Act doesn't apply to	
agricultural land	pledge of movables, lien (ICA)
loans below ₹1 lakh	dues below 20% of principal + interest
aircraft, ships (own laws)	conditional sale, hire purchase, lease

> ***Mardia Chemicals v Union of India*** (2004)
> *story* — Borrowers challenged SARFAESI as one-sided.
> *held* — Act valid; but the 75% pre-deposit to appeal to the DRT was struck down as onerous.

> ***United Bank of India v Satyawati Tondon*** (2010) — High Courts shouldn't entertain writs bypassing S.17
> ***ITC Ltd. v Blue Coast Hotels*** (2018) — redemption right & sale process explained

📌 90 NPA · 60 notice · 15 reply · 13(4) take over · 45 days DRT · 50/25% DRAT · ≥ ₹20 lakh DRT

The whole story in one page

Ep 0 Bank failures → RBI Act 1934, BC Act 1949 → BR Act 1966; banking = deposits for lending, withdrawable by cheque (S.5(b)); licence, reserves, CRR/SLR, RBI control.

Ep 1 Kinds: commercial, co-op, RRB, development, small finance, payments; systems incl. offshore; IT: CBS, UPI, CTS; cyber fraud — 3 days, zero liability; DICGC ₹5 lakh.

Ep 2 C opens an account after KYC → customer (duration irrelevant); deposits with a paying-in slip; gives a mandate to K.

Ep 3 Bank = debtor (Foley v Hill), must be demanded (Joachimson); Clayton's rule FIFO; also trustee, agent, bailee, guarantor.

Ep 4 Secrecy + 4 Tournier exceptions; creditor's garnishee order freezes the balance on that day; rights: lien, set-off, appropriation.

Ep 5 C's cheque → endorsed → holder in due course (S.9) gets better title; S.20 inchoate; S.118 presumptions; drafts & dividend warrants.

Ep 6 Crossed (S.123) · special (S.124) · not negotiable (S.130) · A/c payee; F can't cash it.

Ep 7 Cheque bounces → 30-day notice → 15 days → complaint in 1 month (S.138); 2018: 20% interim (143A), 20% appeal deposit (148).

Ep 8 Paying bank must honour (S.31); protected for forged endorsement (S.85), not forged drawer's signature (Canara Bank 1987).

Ep 9 F's bank collected an A/c-payee cheque → negligent → no S.131 protection; compare paying v collecting.

Ep 10 Bank keeps C's FD & shares (general lien, S.171) and sets off balances — not her locker jewels.

Ep 11 Loan: pledge (gold), hypothecation (stock), mortgage (shop), assignment (LIC, S.38), shares, DTG; father's guarantee (S.126).

Ep 12 Bank guarantee for a contract — independent; LC for imports — documents, strict compliance, UCP 600.

Ep 13 NPA (90 days) → SARFAESI 13(2) 60 days → 13(4) possession → DRT appeal (S.17, 45 days); RDB Act for ≥ ₹20 lakh.

Numbers to remember

1949 BR Act (as BC Act)	**1934** RBI Act	**20%** profits to reserve (S.17)	**7 yrs** non-banking assets (S.9)
10 yrs unclaimed → DEAF	**₹5 lakh** DICGC per bank	**90 days** DICGC interim pay	**3 days** report fraud: zero liability
₹2 lakh payments bank cap	**3 months** cheque validity	**30 · 15** S.138 notice · pay	**1 month** S.138 complaint
2 yrs / 2× S.138 punishment	**20%** S.143A / S.148	**1881 · 1882** NI Act · in force	**90 days** NPA
60 · 15 13(2) notice · reply	**45 days** S.17 appeal to DRT	**₹20 lakh** DRT minimum	**₹1 lakh** SARFAESI exclusion

Latin card

Bona fide — in good faith

Prima facie — on the face of it

Nemo dat quod non habet — no one gives what he doesn't have — except HDC

Sans recourse — without recourse to the endorser

Caveat emptor — buyer beware

Uberrimae fidei — of utmost good faith (guarantee, insurance)

Lex mercatoria — law merchant — source of lien & NI rules

Pari passu — on equal footing (charges)

Garnishee — third person who owes the debtor

Nisi / absolute — provisional / final order

Section finder

Topic	Act · Section
Banking defined	BR 5(b)
Licence · branches	BR 22 · 23
Reserve fund	BR 17
CRR · SLR	BR 18 · 24
RBI directions · inspection	BR 35A · 35
DEAF	BR 26A
Moratorium	BR 45
Appropriation	ICA 59–61
Bailment · lien	ICA 148 · 171
Pledge	ICA 172–179
Guarantee	ICA 126–147
Garnishee	CPC O.XXI r.46A
PN · bill · cheque	NI 4 · 5 · 6
Holder · HDC	NI 8 · 9
Payment in due course	NI 10
Inchoate	NI 20
Drawee's duty	NI 31
Negotiation	NI 14, 46–48
Paying banker protection	NI 85, 85A, 89, 128
Material alteration	NI 87
Dishonour · notice	NI 91–98
Presumptions	NI 118, 139
Crossing	NI 123–131A
Collecting banker	NI 131
Cheque bounce	NI 138–142
Interim compensation	NI 143A
Appeal deposit	NI 148
Life policy assignment	Insurance Act 38
DRT	RDB Act 17–25
SARFAESI measures	SARFAESI 13–14
Appeal to DRT · DRAT	SARFAESI 17 · 18
Exclusions	SARFAESI 31

Test yourself

MCQs

1. 'Banking' is defined in BR Act section
(a) 5(b) · (b) 6 · (c) 22 · (d) 35A

2. DICGC insurance cover per depositor per bank is
(a) ₹1 lakh · (b) ₹2 lakh · (c) ₹5 lakh · (d) ₹10 lakh

3. Foley v Hill held the banker is a
(a) trustee · (b) debtor · (c) agent · (d) bailee

4. The four exceptions to secrecy come from
(a) Clayton's case · (b) Tournier's case · (c) Joachimson · (d) Foley v Hill

5. An inchoate stamped instrument is covered by NI Act section
(a) 13 · (b) 20 · (c) 87 · (d) 118

6. Interim compensation in cheque bounce cases is under
(a) S.138 · (b) S.143A · (c) S.147 · (d) S.148

7. Paying banker's protection for forged endorsement on an order cheque
(a) S.31 · (b) S.85(1) · (c) S.131 · (d) S.138

8. Statutory protection to the collecting banker
(a) S.85A · (b) S.128 · (c) S.131 · (d) S.89

9. Banker's general lien is under Indian Contract Act section
(a) 148 · (b) 171 · (c) 172 · (d) 176

10. Under SARFAESI, a borrower appeals to the DRT within
(a) 15 days · (b) 30 days · (c) 45 days · (d) 60 days

Fill in the blanks

1. 'Once a bearer, always a bearer' — NI Act S.___.

2. Clayton's rule = first in, first ___.

3. Two parallel transverse lines = ___ crossing.

4. S.138 demand notice must be sent within ___ days.

5. Forged cheques: bank liable — ___ (1987).

6. A guarantee is defined in ICA S.___.

7. LCs are governed by ICC's ___.

8. A loan becomes an NPA after ___ days overdue.

9. SARFAESI pre-deposit struck down in ___ (2004).

10. Life policies are assigned under Insurance Act S.___.

Short answers (plan)

1. Banker–customer relationships.
Debtor-creditor (Foley v Hill, Joachimson) · trustee · agent · bailee · pledgee · guarantor (Ep 3).

2. Duty of secrecy.
Tournier — law · public · bank's interest · consent; Indian laws (Ep 4).

3. Garnishee order.
O.XXI r.46A; nisi/absolute; balance on date; exceptions (Ep 4).

4. Holder in due course & presumptions.
S.9 conditions; better title; S.118 (a)–(g); S.139 (Ep 5).

5. Crossing & A/c payee.
S.123–131; who may cross; effect; collecting banker's duty (Ep 6).

6. S.138 and the 2018 amendment.
6 ingredients; 139–147; S.143A, S.148; Rangappa (Ep 7).

7. Statutory protection: paying v collecting banker.
S.10, 85, 85A, 89, 128 v S.131; negligence cases (Eps 8–9).

8. SARFAESI & DRT.
NPA; 13(2), 13(4), 14, 17, 18, 31; RDB Act; Mardia Chemicals (Ep 13).

Answers

MCQ: 1-a · 2-c · 3-b · 4-b · 5-b · 6-b · 7-b · 8-c · 9-b · 10-c

Fill-ups: 1. 85(2) · 2. out · 3. general · 4. 30 · 5. Canara Bank v Canara Sales Corp. · 6. 126 · 7. UCP 600 · 8. 90 · 9. Mardia Chemicals · 10. 38

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